THE BURTON INN

A Five-Year Lease and a Path to Purchase — prepared for the building owner

Draft v3.2 — November 13, 2026 — replaces the July 2026 version

> *This document lays out a five-year plan for the Burton Inn: how the rent works, what the owner receives, and how the two of us would arrive at a fair price for the building. The projected cost of running the inn is itemized in the attached Exhibit D, Projected Annual Operating Budget. Figures are projections from the stated assumptions, not guarantees. There is space to write under each section.*

The baseline is an empty building. Today the property earns nothing and costs its owner about $19,500 a year in taxes, insurance, and upkeep. The plan below turns it into a building that pays its own way, earns a return, and has a documented value — and it takes work off the owner's desk at every step.

THE FIVE-YEAR PATH

WHEN	WHAT HAPPENS	WHAT IT MEANS FOR THE OWNER
At signing (late 2026)	An independent appraiser sets the building's value as it stands today. The lease is signed.	A written starting value. Taxes, insurance, and upkeep move to the tenant the following month.
Years 1–3 (through 2029)	The inn reopens in stages and builds its business.	Rent every quarter and a monthly revenue report: a three-year record of what the building earns.
Value review (spring 2030)	We sit down with the three-year record and set the purchase price by the method in Section 4.	A price based on the appraisal and the record, not on a negotiation under pressure.
Years 4–5 (2030–2031)	The tenant arranges financing and completes the purchase: the inn alone, or the inn and the Yellow House together.	Rent continues until closing. One buyer, one closing.

NOTES

WHAT CHANGED SINCE JULY

TOPIC	JULY 2026	NOW
The plan	A ten-year lease, with purchase as a distant goal	A five-year lease with a defined path to purchase
Purchase price	About $1,200,000 around Year 10	Set by a method: an independent appraisal today, reviewed against three years of results (Section 4)
How rent is described	Fixed base rent plus 10% above a $198,000 breakpoint	The greater of the $1,650 monthly minimum or 10% of gross revenue. From 2028 the result is identical; it is simply easier to state.
First lease year	Base rent abated; 10% only on revenue above $198,000	No minimum, but 10% of all revenue from the first dollar
Building systems	Optional $50,000 loan from tenant to owner	The fire suppression and HVAC work is under way, funded by the tenant's $70,000 rent advance
Revenue and costs	Target inn occupancy 45%; weekend pop-ups; a short cost list	Target occupancy 50%. A breakfast and coffee service replaces the weekend pop-ups. Costs now include kitchen and bar labor, linens, septic service, software, and a repair reserve, so the coverage figures in Section 1 are lower and more complete.
Yellow House	Not addressed	May be included in the purchase (Section 5)
Zoning	Not addressed	Addressed in Section 7

NOTES

1 · HOW THE RENT IS CALCULATED

COMPONENT	AMOUNT	BASIS
Tier One — property costs	About $19,500 a year	Taxes $8,500 (the current bill), building insurance $6,500, routine upkeep $4,500. Paid by the tenant at actual cost, so the owner is never exposed to increases. No management fee and no escrow account.
Tier Two — minimum	$1,650 a month from January 1, 2028	$19,800 a year, fixed for the term. No minimum in Lease Year 1 while the business opens in stages.
Tier Two — percentage	10% of gross revenue	Receipts-based and verifiable; no expense accounting involved. The owner receives the greater of this or the minimum.

Why this structure. The minimum is set so the business can survive a weak year, and the percentage makes the owner an automatic participant in every good one. As revenue grows, the owner's return grows with it, without a renegotiation.

How it is paid and checked. The minimum is paid monthly. The percentage is paid quarterly, within a month after each calendar quarter, with a year-end true-up by March 31. The tenant sends a monthly revenue report and a certified annual statement. The owner may audit point-of-sale and booking records once a year; if revenue was understated by more than 10%, the tenant pays for the audit.

NOTES

The two cases, at stabilized revenue:

	CONSERVATIVE (FLOOR)	TARGET
Gross revenue	$276,521	$465,662
Tier Two to the owner (10%)	$27,652	$46,566
Tier One costs paid by tenant	$19,500	$19,500
Tenant's total occupancy cost	$47,152	$66,066
Occupancy cost as a share of revenue	17.1%	14.2%
Operating costs before occupancy cost	$214,430	$320,798
Profit before occupancy cost (coverage)	$62,091 (1.3x)	$144,864 (2.2x)

Two honest notes. First, 14–17% is a full rent load. Single-use restaurant benchmarks put median occupancy cost near 6% of sales (National Restaurant Association, 2024) and call anything over 10% high. The owner is paid above single-use norms, which is supportable because the same building earns several ways: an inn around the clock, a bar at night, a dinner venue, a morning coffee service, and a commercial kitchen by day. Second, coverage is the real safety measure, and it is thinner than the July figures showed. With the full cost list in Exhibit D, the business earns about 2.2 times its occupancy cost at target and about 1.3 times at the floor. At the floor there is little left after rent, which is why the percentage matters: if revenue falls, Tier Two falls with it, down to the minimum. The revenue behind these figures is itemized in Appendix A, and the costs in Exhibit D.

NOTES

2 · WHO DOES WHAT

ITEM	CARRIED BY
Property taxes	Tenant, at actual cost (Tier One)
Building insurance	Tenant, at actual cost (Tier One)
Routine maintenance and upkeep, inside and out	Tenant (Tier One, about $375 a month)
Utilities (power, water, garbage, internet)	Tenant
Liability, liquor-liability, and business-income insurance	Tenant (owner named as additional insured)
Interior fit-out (about $98,000)	Tenant
Fire suppression and HVAC (about $50,000)	Owner — under way now, funded by the tenant's $70,000 rent advance
Roof, foundation, and structure	Owner
Existing code violations, including the sunroom	Owner

What is left on the owner's list. Finish the fire suppression and HVAC work already in progress, resolve the sunroom violation, and sign owner consents on permit applications. After that, the owner's part is the roof, foundation, and structure, as it is today.

The $70,000 rent advance. The tenant has paid the owner $70,000 as a rent advance under the Side Agreement, with a 12% credit, and it is paying for the building systems work. The rent figures in Section 3 are rent earned, before the advance is credited. Proposed: if the purchase closes, any part of the advance not yet used is credited toward the price.

The owner's downside. If the business underperforms, rent falls toward the minimum rather than the tenant defaulting. If the tenancy ends early, the owner keeps the fit-out attached to his building, his new systems, and a property that has been maintained and insured at the tenant's expense. The owner has no capital in the operating company. His exposure is vacancy, which is the risk the building carries today, on a materially improved building.

NOTES

3 · WHAT THE OWNER RECEIVES

Lease Year 1 runs from signing through December 31, 2027, and reflects the staged opening (rooms first, kitchen and bar about three months later). Its revenue depends on the opening date. From Lease Year 2, revenue is assumed to grow 5% a year. The figures are Tier Two only: cash to the owner, with property costs already paid by the tenant.

LEASE YEAR	CONSERVATIVE REVENUE	TIER TWO TO OWNER	TARGET REVENUE	TIER TWO TO OWNER
1 (through 2027)	$176,239	$17,624	$291,363	$29,136
2 (2028)	$290,347	$29,035	$488,945	$48,895
3 (2029)	$304,864	$30,486	$513,392	$51,339
4 (2030)	$320,108	$32,011	$539,062	$53,906
5 (2031)	$336,113	$33,611	$566,015	$56,602
Five-year total		**$142,767**		**$239,878**

- **Plus property costs the owner no longer pays:** $19,500 a year at today's costs, or $97,500 over five years. Counting these, the swing from today's empty building is $240,267 (conservative) to $337,378 (target).
- **Stress case:** if revenue never grows past the conservative floor, Tier Two totals $128,232 over the five years.

Where the owner stands at the end of Year 5

	IF THE PURCHASE CLOSES	IF IT DOES NOT
Rent received	Five years of Tier Two, as above	The same
The building	Sold at the price set in Section 4	Still the owner's, with about $98,000 of tenant fit-out, new fire suppression and HVAC, and the code violations resolved
Income record	Supports the price	Five years of documented revenue to show any future tenant, buyer, or lender
Work for the owner	None after closing	The lease ends or continues by agreement (Section 6)

NOTES

4 · SETTING A FAIR PRICE

No one has to name a number today. The price comes from a method both sides agree to now and apply together at the value review.

Step 1 — Today's value. At signing, an independent appraiser we both accept values the building as it stands: empty, before the tenant's fit-out, with its current condition. This is the foundation of the price.

Step 2 — Keep it whole. At the value review in spring 2030, today's value is adjusted for inflation, so the owner does not lose ground by waiting.

Step 3 — Share what the building has proven. The rent the building earned in Lease Years 2 and 3 is converted to a value at a rate agreed now. If that rent-based value is higher than the adjusted appraisal, half of the difference is added to the price, up to a cap of 10% of the adjusted appraisal.

The tenant's own fit-out is not added to the price. The appraisal is taken before that work, so the tenant does not pay twice for improvements he funded.

How the cap works, in percentages:

IF THE RENT-BASED VALUE COMES IN...	THE PRICE IS THE ADJUSTED APPRAISAL...
At or below the adjusted appraisal	With nothing added. The owner still receives today's value, kept whole for inflation.
12% above	Plus 6% (half of the difference)
30% above	Plus 10% (half would be 15%; the cap applies)

Why this is fair to both sides. The owner is guaranteed today's value, protected against inflation, and shares in the upside if the inn proves the building can earn more. He has also received 10% of every dollar of revenue along the way. The tenant can invest and work to grow the business knowing the price cannot run away from him.

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To settle now, and write into the lease:

Appraiser, and who pays: _____

Rate used to convert rent to value: _____ %

Cap on the added share (10% proposed): _____ %

Measure of inflation: _____

Today's appraised value (when complete): $ _____

NOTES

5 · TWO WAYS TO BUY

	THE INN ALONE	THE INN AND THE YELLOW HOUSE TOGETHER
What is bought	The Burton Inn building and its parcel	Both parcels
Yellow House use	Stays with the owner, or is sold separately	Long-term rental housing, plus laundry and work space for the inn
Shared septic	Needs a written agreement between two owners, and likely a mutual right of first refusal	One owner; nothing to agree
Alley and neighbor matters	Need to be written down	One owner; nothing to agree
For the owner	Two properties to resolve, on two timelines	One buyer and one closing settle both

Buying both is the simpler outcome for the owner. If the Yellow House is included, it is appraised the same way: today's value by the same appraiser, adjusted for inflation at the value review. No rent-based share applies, because the tenant does not lease it.

The Yellow House does not have to wait. If the owner prefers to sell it sooner, to the tenant or to someone else, the inn's plan above is unchanged.

Owner's preference:

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6 · IF THE INN IS STILL GROWING

Five years is long enough to know whether the business works. It may not be long enough for the business to finish growing, or for a lender to see it at full strength.

- **Hotels take about three years to settle.** A Cornell study of 3,699 hotels found that occupancy takes about 3.1 years on average to stabilize, and practitioners plan on 36 to 48 months. That average means many are still climbing at three years.
- **The clock starts at opening, not signing.** If the rooms reopen in spring 2027 and the kitchen and bar a few months later, the value review looks at about two and a half years of operation.
- **Restaurants and bars run on a similar timeline.** Reliable data is thinner, but most estimates put break-even at 6 to 18 months and consistent profit at up to three years.

Proposed. The price is set at the value review and does not change after that. If the purchase has not closed by the end of Year 5 and the tenant is in good standing, the tenant may extend the lease once, for up to two years, on the same terms, to finish the financing. The owner keeps receiving rent throughout.

Owner's view:

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7 · GETTING OPEN: ZONING AND PERMITS

The revenue in this document depends on reopening the guest rooms and then the kitchen and bar. Where that stands:

- **Zone.** The property is zoned NB. A bed-and-breakfast is allowed only as accessory to the operator's residence, with a maximum of five rooms.
- **Certificate of occupancy.** The County's 1992 certificate covers four guest rooms over a 62-seat dining room. Whether it still holds after the closure since 2022 is an open question.
- **Sunroom violation.** An open violation on the sunroom is the likely gate on new permits. If the County lets it be resolved separately, the rooms could reopen in roughly four to six weeks (our estimate, not the County's).
- **Proposed protection.** If the guest rooms cannot legally reopen by June 30, 2027, the tenant may end the lease.

King County zoning (Mark Rowe, November 10):

NOTES

APPENDIX A · REVENUE DETAIL

The basis for the revenue figures in Sections 1 and 3.

Because Tier Two is 10% of all revenue, each line of business contributes 10% of what it earns. Tier One is shown spread across the lines by revenue share, to illustrate what each line carries. The lease itself is a single obligation of the tenant.

Conservative floor

LINE OF BUSINESS	REVENUE	TIER TWO (10%)	TIER ONE SHARE	TOTAL	SHARE
Inn — 4 guest rooms	$110,376	$11,038	$7,784	$18,821	39.9%
Cocktail bar (Sylvan Kitchen)	$79,800	$7,980	$5,627	$13,607	28.9%
Chef's dinners	$46,085	$4,608	$3,250	$7,858	16.7%
Breakfast and coffee	$30,240	$3,024	$2,132	$5,156	10.9%
Commissary rental	$3,200	$320	$226	$546	1.2%
Misc kitchen and events	$6,820	$682	$481	$1,163	2.5%
Total	**$276,521**	**$27,652**	**$19,500**	**$47,152**	**100%**

- **Inn ($110,376):** 36% occupancy at $210 a night, or 525 booked nights a year across 4 rooms. The observed Vashon short-term lodging average is 52% occupancy (AirDNA, June 2026; Bainbridge Island runs 56%), so this case sits 16 points below the market as a margin of safety. $210 is at the entry point for Vashon lodging ($221–234 cheapest-room rates on Tripadvisor; whole-home rentals average $327).
- **Cocktail bar ($79,800):** 12.5 covers a night at $38, 4 nights a week, 42 weeks. Two craft cocktails at Seattle-area prices ($16–24 each) plus a snack puts a realistic check at $38–50, so $38 is the low end. That is roughly a quarter of a 50-seat room on an average night.
- **Chef's dinners ($46,085):** 35 seats at $150, about 16 dinners a year, 55% sell-through. The nearest Seattle comparable is $130 all-inclusive with pairings; the low sell-through absorbs the pricing risk.
- **Breakfast and coffee ($30,240):** 20 sales a morning at $9, 4 mornings a week, 42 weeks. Sized to inn guests and a modest walk-up trade, alongside the coffee stand already operating next door.
- **Commissary ($3,200):** $32 an hour, 2 hours a week. Mid-range of Seattle-area commissary rates ($15–35 an hour), on a token schedule.
- **Misc kitchen and events ($6,820):** $210 a month of small hires plus $4,300 a year of private events.

Target

LINE OF BUSINESS	REVENUE	TIER TWO (10%)	TIER ONE SHARE	TOTAL	SHARE
Inn — 4 guest rooms	$156,950	$15,695	$6,572	$22,267	33.7%
Cocktail bar (Sylvan Kitchen)	$114,912	$11,491	$4,812	$16,303	24.7%
Chef's dinners	$107,100	$10,710	$4,485	$15,195	23.0%
Breakfast and coffee	$67,200	$6,720	$2,814	$9,534	14.4%
Commissary rental	$12,500	$1,250	$523	$1,773	2.7%
Misc kitchen and events	$7,000	$700	$293	$993	1.5%
Total	**$465,662**	**$46,566**	**$19,500**	**$66,066**	**100%**

- **Inn ($156,950):** 50% occupancy at $215 a night, or 730 booked nights a year. That is just under the 52% Vashon market average. Even the target case does not require the inn to outperform its market.
- **Cocktail bar ($114,912):** 18 covers a night at $38, 4 nights a week, 42 weeks; about a third of the room. Amelia's existing following (Sylvan Kitchen) is the engine here.
- **Chef's dinners ($107,100):** two ticketed dinners a month at 85% sell-through.
- **Breakfast and coffee ($67,200):** 40 sales a morning at $10, 4 mornings a week, 42 weeks. A $10 average sale is the middle of the usual $8–12 range for coffee with a pastry or breakfast item.
- **Commissary ($12,500):** $50 an hour, 5 hours a week; the top of the $25–50 national shared-kitchen band, justified by the scarcity of licensed kitchens on the island.
- **Misc kitchen and events ($7,000):** $500 a month plus $1,000 a year of events.

NOTES

APPENDIX B · MARKET SOURCES

The main assumptions were checked against outside market data in July and November 2026. Vashon is too small a lodging market for the standard hotel-industry reports, so short-term-rental data and named comparables are the best available evidence. They are directional. A full source list is available on request.

ASSUMPTION	THIS DOCUMENT	MARKET EVIDENCE	SOURCE
Inn occupancy	36% floor / 50% target	Vashon short-term-rental average 52% (June 2026); Bainbridge 56%. Both cases sit below the observed average.	AirDNA
Nightly rate	$210–215 blended	Vashon listings from $221–234 (cheapest-room rates); whole-home rentals average $327.	Tripadvisor; AirDNA
Seasonality	Blended year-round rate	Winter occupancy on a comparable island (Whidbey) is 20–35%, which supports blending.	UBRPM market guide
Bar check	$38 a cover	Seattle craft cocktails run $16–24 each; two drinks and a snack is $38–50.	Seattle bar menus (Canon, Deep Dive, and others)
Chef's dinner	$150 a seat	Nearest Seattle comparable: $130 a seat all-inclusive. The conservative case absorbs the premium through 55% sell-through.	Seattle pop-up listings
Breakfast and coffee	$9–10 a sale; 20–40 sales a morning	Typical coffee-shop sales run about $8–12. A walk-up coffee stand already operates next to the inn, so volumes are set low.	Square; Dojo Business
Commissary rate	$32 floor / $50 target	Seattle-area commissaries list $15–35 an hour; $25–50 nationally.	The Food Corridor; Farm Kitchen; CBG
Percentage rent	10% of gross revenue	10% matches bar and venue norms; single-use restaurants run 5–8%. The blend reflects the mix.	Northmarq; Stoner Law; Fork CPAs
Occupancy cost	14–17% of revenue including property costs	Single-use restaurant median is about 6% (2024); over 10% is called high. Carried here by multi-use economics; coverage is 1.3x at the floor and 2.2x at target.	National Restaurant Association; Toast; Paytronix
Flat minimum with a percentage escalator	Minimum flat; percentage grows	Annual 2–3% escalators are the majority convention; percentage-based restaurant leases are a growing, accepted model.	STRATAFOLIO; FIP Commercial
Time to establish	Value review after Lease Year 3; up to two more years if still growing	A Cornell study of 3,699 hotels found occupancy takes about 3.1 years on average to stabilize; practitioners plan on 36–48 months. Restaurant data is thinner: 6–18 months to break even and up to 3 years for consistent profit.	Cornell Hospitality Quarterly (O'Neill); Hospitality Net; CoStar/STR
Property tax	$8,500 (current bill)	Vashon effective rates are about 1.07–1.13% of assessed value. Actual bills pass through to the tenant.	Ownwell; Vashon Beachcomber

NOTES AND QUESTIONS